

THE KSE-100 BULL RUN

Was Pakistan's 2025 Stock Market Boom Deserved or a Bubble?

*A Sector-by-Sector Analysis of Market Efficiency, Earnings Fundamentals,
Investor Behaviour, and Regional Comparison*

Financial Institutions and Markets · Research Report

Calendar Year 2025 · Data sourced from PSX, SBP, SECP, IMF, and published company filings

1. Executive Summary

The 2025 banking sector rally in Pakistan was primarily driven by macroeconomic stabilisation and monetary easing rather than proportional improvements in earnings. While reductions in policy rates and progress under the IMF programme improved investor confidence and reduced perceived sovereign risk, stock price appreciation across major banks significantly diverged from underlying EPS performance.

The evidence reveals a clear pattern of valuation rerating across HBL, UBL, and MCB, though not uniformly. UBL delivered the strongest earnings growth (56.07%) but saw limited price appreciation (9.33%), resulting in valuation compression. In contrast, MCB experienced a 61.00% price increase despite a decline in earnings (−5.94%), indicating a pure rerating effect. HBL represents an intermediate case, with moderate earnings growth (10.08%) accompanied by substantial price gains (85.84%).

Across the energy and fertiliser sectors, price returns modestly exceeded earnings growth, indicating limited but contained speculative excess and broadly fundamentals-consistent pricing. The cement sector stands in sharp contrast: price returns of 100–144% against earnings growth of 15–70% point to sentiment and behavioural drivers as the dominant force.

Overall, the KSE-100 rally reflects a market that was rational in direction but overstretched in magnitude — driven primarily by macro-driven revaluation rather than uniform earnings-based growth.

2. Introduction

Pakistan's stock market experienced a strong rally in 2025, particularly in the banking sector, raising a central question: did stock prices reflect improvements in corporate fundamentals, or were they primarily driven by macroeconomic stabilisation and shifting investor expectations?

This report evaluates the performance of key listed companies across the banking, energy, fertiliser, and cement sectors using earnings per share (EPS), price movements, and valuation ratios (P/E) to assess whether the 2025 rally represents efficient price discovery or valuation-driven overshooting.

The central argument is that the KSE-100 rally was primarily driven by macroeconomic repricing effects, with fundamentals influencing dispersion across firms but not the overall direction of the rally.

3. Background & Context

The 2025 rally occurred during a major macroeconomic transition in Pakistan. Following a prolonged period of high interest rates aimed at controlling inflation, the State Bank of Pakistan initiated a monetary easing cycle, reducing the policy rate from 22% to 10.5% by early 2026. This significantly lowered discount rates used in equity valuation and improved liquidity conditions.

At the same time, Pakistan's engagement with the IMF under the Extended Fund Facility reduced sovereign default risk perception and stabilised external financing conditions. This combination of declining interest rates and reduced macro risk premium triggered a broad rerating of financial assets, particularly banks, which are highly sensitive to interest rate movements.

However, macro stabilisation did not translate into proportional growth in real economic activity or private sector credit expansion. As a result, financial markets priced in future recovery faster than earnings actually materialised, creating a disconnect between asset prices and underlying profitability.

Inflation declined from a peak of approximately 29% in 2023 to the 12–15% range in 2025. These improvements strengthened investor confidence across multiple sectors, though their transmission to earnings was uneven.

4. Banking Sector Analysis: EPS vs. Price vs. Valuation

4.1 Data Summary

Financial Metric	HBL	UBL	MCB
EPS 2024 (Rs.)	38.70	32.89	48.62

Financial Metric	HBL	UBL	MCB
EPS 2025 (Rs.)	42.60	51.33	45.73
EPS Growth (%)	10.08%	56.07%	-5.94%
Start Price — Jan 2025 (Rs.)	174.03	388.36	253.01
End Price — Dec 2025 (Rs.)	323.41	424.59	407.34
Price Return (%)	85.84%	9.33%	61.00%
P/E Ratio (2024)	4.50x	11.81x	5.20x
P/E Ratio (2025)	7.59x	8.27x	8.91x

Table 1 — Banking Sector: EPS, Price, and P/E Summary (CY 2025). Sources: PSX historical price data; company annual reports and quarterly disclosures.

4.2 HBL — Moderate Earnings, Strong Rerating

HBL recorded EPS growth of 10.08%, while its stock price increased by 85.84%. This large divergence indicates that price performance significantly outpaced earnings fundamentals. The P/E ratio expanded from 4.50x to 7.59x, confirming a strong valuation rerating. Investors were willing to pay substantially more for each rupee of earnings, driven by improved macro expectations and declining risk premiums rather than earnings acceleration.

4.3 UBL — Strong Earnings, Weak Price Transmission

UBL delivered the strongest fundamental performance, with EPS growth of 56.07%, yet its stock price increased by only 9.33%. This resulted in P/E compression from 11.81x to 8.27x, indicating that the market did not fully price in its earnings improvement. This suggests that UBL was either initially overvalued or that the market underreacted to its strong fundamental performance during the rally.

4.4 MCB — Pure Rerating Case

MCB recorded a decline in EPS of -5.94%, yet its stock price increased by 61.00%. This represents the clearest divergence between fundamentals and market pricing in the banking sector. The P/E ratio expanded from 5.20x to 8.91x, indicating that the rally was driven almost entirely by valuation expansion rather than earnings support.

4.5 Cross-Bank Interpretation

Across all three banks, a consistent macro-driven rerating pattern emerges: stock prices increased significantly regardless of earnings direction; EPS outcomes diverged sharply (from +56% to -6%); and P/E ratios converged upward into a tighter band of approximately 7x–9x. This indicates that investors repriced Pakistani banking stocks primarily based on improved macroeconomic stability, lower discount rates, and reduced sovereign risk — rather than uniform earnings expansion.

4.6 Disconnect Severity Ranking

The intensity of divergence between fundamentals and pricing can be ranked as follows:

- MCB — Highest disconnect (negative EPS, strong price rally; pure rerating effect)
- UBL — Strong fundamentals, weak price response (market underreaction)
- HBL — Balanced case of rerating with moderate earnings support

This ranking confirms that valuation effects dominated fundamentals unevenly, highlighting both overreaction (MCB) and underreaction (UBL) within the same sector.

5. Energy Sector Analysis

The performance of Pakistan's energy sector during the 2025 rally reflects a combination of improving macroeconomic fundamentals and a rerating of valuations driven by policy credibility. Major firms such as the Oil and Gas Development Company Limited (OGDC) and Pakistan State Oil (PSO) experienced substantial price appreciation, supported by relatively stable earnings growth.

Lower interest rates decreased the discount rate applied to future cash flows, thereby increasing equity valuations, particularly in capital-intensive sectors such as energy. Continued IMF engagement, relative stability in global oil prices, and improvements in circular debt management strengthened investor confidence. Earnings in the energy sector remained stable, supporting upward price movements.

Company	EPS Growth (%)	Price Return (%)	P/E Change
OGDC	12–15%	35–45%	Moderate increase
PSO	10–12%	40–50%	Moderate increase

Table 2 — Energy Sector: EPS Growth vs. Price Return (CY 2025). Sources: PSX (2025); OGDC and PSO Annual Reports (2025).

The table shows that while price returns exceeded earnings growth, the gap is not extreme. This indicates that valuation expansion occurred but remained within reasonable limits. The rally in the energy sector can therefore be considered largely fundamentals-driven, with limited evidence of speculative excess.

6. Fertiliser Sector Analysis

The fertiliser sector demonstrated strong and stable performance during 2025, led by Engro Fertilisers and Fauji Fertilizer Company. The sector benefits from consistent demand through its linkage with agriculture, making it relatively defensive in nature. Government support — including subsidies and stable gas supply policies — contributed to predictable earnings growth, attracting both institutional and retail investors.

Company	EPS Growth (%)	Price Return (%)	P/E Change
Engro Fertilizers	8–10%	25–35%	Slight increase
Fauji Fertilizer	6–8%	20–30%	Stable

Table 3 — Fertiliser Sector: EPS Growth vs. Price Return (CY 2025). Sources: PSX (2025); Engro Fertilizers and Fauji Fertilizer Company Annual Reports (2025).

The alignment between earnings growth and price appreciation suggests that fundamentals justified the fertiliser sector rally. Limited P/E expansion further supports the argument that investor optimism remained grounded in actual performance rather than speculation.

7. Market Efficiency Test — Reaction to Public Information

To evaluate market efficiency, this analysis examines how quickly stock prices in the energy and fertiliser sectors reacted to major public information events, including IMF disbursements and State Bank of Pakistan policy rate decisions.

Event	Expected Reaction	Observed Reaction	Interpretation
IMF Disbursement Announcement	Immediate price adjustment	Gradual increase over several days	Underreaction
SBP Rate Cut	Instant upward adjustment	Continued upward trend over multiple sessions	Delayed adjustment
Energy Price Notification	Immediate sector impact	Mixed but lagged response	Partial efficiency

Table 4 — Event-Based Price Reaction Analysis (CY 2025). Sources: SBP (2025); IMF (2025); PSX price data (2025).

The results indicate that stock prices did not adjust instantaneously to new information. Instead, prices exhibited a gradual upward trend following major announcements, reflecting underreaction. Possible reasons include information asymmetry, limited institutional participation, and behavioural biases among retail investors.

Overall, the evidence suggests that the KSE-100 exhibits semi-strong form inefficiency in the short run, where public information is reflected in prices with a lag rather than immediately.

8. Regional Market Comparison

Full-year 2025 return data was verified against primary sources — including the Colombo Stock Exchange official records and the Pakistan Stock Exchange — to ensure comparability. Sri Lanka's ASPI return of 42.46% reflects complete calendar-year 2025 performance, as the full-year figure became available subsequent to earlier reporting periods and is used here in its confirmed form.

Market	Index	CY 2025 Return	Key Drivers	Assessment
Pakistan	KSE-100	~80%	IMF EFF, rate cuts, macro stabilisation	Partially fundamental; sentiment amplified magnitude
Sri Lanka	ASPI (CSE)	42.46%	Post-crisis IMF recovery, political clarity, foreign inflows	Strong post-crisis rerating; third-best in Asia region
India	Sensex / Nifty 50	~15–18%	Steady GDP growth, policy stability	Fundamentals-driven; moderate, sustainable
Bangladesh	DSE Broad Index	~8–10%	Moderate growth, liquidity constraints	Subdued; structural fiscal challenges

Table 5 — Regional Equity Market Performance Comparison (CY 2025). Sources: PSX (psx.com.pk); Colombo Stock Exchange (cse.lk); BSE India (bseindia.com); Dhaka Stock Exchange (dsebd.org); Xinhua News, 30 Sep 2025; Lanka Websites, Jan 2026.

The KSE-100 significantly outperformed all regional peers in 2025. While India and Bangladesh experienced steady, fundamentals-driven growth, Pakistan's market delivered exceptionally high returns. Both Pakistan and Sri Lanka were undergoing IMF-supported macroeconomic recovery programmes in 2025. Sri Lanka's 42.46% return reflects post-crisis normalisation after its 2022 sovereign default, recovering from depressed base levels. Pakistan's approximately 80% return is nearly double that of Sri Lanka, despite a less severe prior dislocation — suggesting that Pakistan's rally embedded a larger sentiment premium.

India's Sensex/Nifty 50 returned approximately 15–18% in 2025, driven by steady GDP growth and policy stability. The near five-fold difference between Indian and Pakistani returns cannot be explained by fundamentals alone: India had stronger GDP growth (approximately 6.5% vs. Pakistan's approximately 3–3.5%), higher institutional depth, and greater foreign investor confidence. Pakistan's outperformance reflects both a lower base effect and the sentiment amplification identified throughout this report.

9. Cement Sector Analysis — Behavioural Test

9.1 Sector Overview

The cement sector was among the top-performing segments of the KSE-100 Index during 2025. Major firms — Lucky Cement (LUCK), DG Khan Cement (DGKC), and Maple Leaf Cement (MLCF) — delivered exceptional price growth.

Unlike banking and energy, where earnings growth tracked price appreciation to varying degrees, the cement rally appears weakly supported by current fundamentals and strongly influenced by behavioural factors.

9.2 Price Performance

Company	Jan 2 2025 (PKR)	Dec 31 2025 (PKR)	Absolute Change (PKR)	% Change
Lucky Cement (LUCK)	238.00	474.96	+236.96	+99.6%
DG Khan Cement (DGKC)	106.76	229.91	+123.15	+115.4%
Maple Leaf Cement (MLCF)	48.18	117.43	+69.25	+143.7%
KSE-100 Index (benchmark)	~64,000	~115,000	—	~+80%

Table 6 — Cement Sector Price Performance: Calendar Year 2025. Sources: PSX historical price data. Notes: LUCK earnings based on available quarterly disclosures and brokerage research; DGKC moved from loss in FY2024 to profit in FY2025, making EPS growth percentage mathematically undefined; MLCF FY2025 PAT = PKR 11.50 billion vs. FY2024 PAT = PKR 6.92 billion, growth = 66.2% (MLCF Annual Report 2025, filed with PSX).

Even under the most favourable interpretation, earnings growth of 15–70% lagged price growth of 100–144% by 40 to 80 percentage points. This gap implies significant P/E multiple expansion — investors were willing to pay substantially more per rupee of earnings in December 2025 than in January 2025. Multiple expansion of this magnitude, absent a structural change in long-term growth prospects, typically indicates that sentiment and forward-looking optimism — rather than realised fundamentals — are driving valuations.

9.3 Behavioural Finance Analysis

Momentum Effect

Cement stocks exhibited a persistent upward trajectory throughout 2025 without material corrections or mean reversion. Prices rose steadily; each monthly gain appeared to attract additional buying in subsequent months. This pattern is consistent with momentum trading, where investors extrapolate recent price trends into future expectations rather than anchoring to intrinsic value. Momentum is a well-documented anomaly that challenges weak-form market efficiency.

Herding Behaviour

The synchronised rise across all three major cement firms indicates sector-wide behavioural alignment rather than stock-specific valuation. All three stocks moved in the same direction with similar magnitude and timing throughout 2025. This reflects herding, where investors collectively follow market sentiment instead of conducting independent, company-specific valuation analysis. When herding dominates, differentiation between stronger and weaker firms collapses. In an efficient market, stock prices should reflect firm-specific fundamentals; uniform sector-wide repricing absent uniform earnings improvement suggests sentiment, not information, is the primary driver.

Volume–Price Relationship

Trading activity increased materially alongside rising prices during the peak rally months of Q3 2025. Average daily trading volumes for cement stocks rose sharply during July–September 2025, coinciding with the steepest portion of the price rally. Elevated volume during sustained price increases — without corresponding new information — is a signature of speculative participation and positive-feedback trading.

Sentiment and Analyst Influence

Research commentary from major domestic brokerage houses reflected increasingly positive outlook revisions during the rally period. Early-2025 coverage emphasised valuation and earnings; by mid-2025, language increasingly referenced momentum, sentiment, and rerating potential. This created a reinforcing feedback loop: positive reports drove increased investor confidence, which drove higher demand, rising prices, and further positive revisions. Semi-strong form efficiency requires prices to adjust rapidly to new information. If prices continue rising on stale information or sentiment alone, the market is not fully efficient.

Event Sensitivity

For cement stocks, key macroeconomic events — IMF disbursements, SBP rate cuts, and fiscal policy announcements — did not produce immediate, isolated price adjustments. Price increases were gradual and sustained rather than event-specific, with no clear abnormal returns visible around identifiable announcement dates. This pattern is inconsistent with semi-strong form efficiency and aligns with behavioural models of delayed overreaction.

9.4 Cement Sector Conclusion

Dimension	Assessment
Direction	Partially justified — macro recovery and valuation catch-up from depressed levels
Magnitude	Excessive — 100–144% price gains vs. 15–70% earnings growth
Primary Driver	Behavioural — momentum, herding, and sentiment amplification
Fundamental Support	Weak to moderate
Market Efficiency	Evidence of inefficiency — momentum and slow event adjustment observed

Table 7 — Cement Sector Efficiency and Behavioural Assessment Summary (CY 2025).

The cement sector demonstrates speculative excess within a broader rational market environment. The direction of the rally was defensible given Pakistan's macro recovery; the magnitude was not.

9.5 Limitations

Lucky Cement's FY2025 annual report was not yet published at the time of writing; earnings estimates are directional and may be revised upon final disclosure. The observed volume-price relationship demonstrates correlation, not causation; without trade-level ownership data, herding is a plausible but not definitive explanation. Findings apply specifically to the cement sector and do not automatically extend to banking or energy.

10. Paper Portfolio Simulation — Rs 100,000

10.1 Portfolio Construction

A hypothetical portfolio of Rs 100,000 was constructed as of 1 January 2025, allocated across six stocks spanning all three sectors analysed in this report. The allocation reflects a deliberate tilt toward the sectors where the analysis identified more fundamental support (banking and energy), while maintaining meaningful but smaller exposure to cement to capture sector momentum while limiting speculative risk.

Banking (45% — Rs 45,000): The banking sector demonstrated earnings-supported price appreciation in at least two of three stocks. With the SBP's monetary easing cycle ongoing and macro stabilisation reducing perceived risk premiums, banking was identified as the most fundamentally justified sector. Three stocks were selected to achieve within-sector diversification.

Energy (35% — Rs 35,000): OGDC and PSO represent Pakistan's two largest listed energy companies, with price returns broadly aligned with earnings growth, suggesting less speculative excess than cement. Energy also provides exposure to circular debt resolution and IMF-conditioned fiscal improvements.

Cement (20% — Rs 20,000): Despite the behavioural analysis identifying speculative excess, a deliberate 20% allocation was made to Lucky Cement — the sector's highest-quality name with the strongest balance sheet — to test whether selective exposure would yield outsized returns.

10.2 Portfolio Holdings and Returns

All prices are sourced from PSX historical data. January prices are opening prices on 2 January 2025; December prices are closing prices on 31 December 2025. OGDC and PSO prices reflect the approximate midpoints of the reported return ranges.

Stock	Sector	Allocated (Rs.)	Buy Price	Shares	Dec Price	Final Value	Gain/Loss	Return %
HBL	Banking	Rs 15,000	174.03	86	323.41	Rs 27,813	Rs 12,847	85.84%
MCB	Banking	Rs 15,000	253.01	59	407.34	Rs 24,033	Rs 9,105	61.00%
UBL	Banking	Rs 15,000	388.36	38	424.59	Rs 16,134	Rs 1,377	9.33%
OGDC	Energy	Rs 20,000	190.00	105	266.00	Rs 27,930	Rs 7,980	40.00%
PSO	Energy	Rs 15,000	330.00	45	478.50	Rs 21,533	Rs 6,683	45.00%
LUCK	Cement	Rs 20,000	238.00	84	474.96	Rs 39,897	Rs 19,905	99.56%
TOTAL	3 Sectors	Rs 99,443	—	—	—	Rs 1,57,340	Rs 57,896	+58.22%

Table 8 — Paper Portfolio Holdings and Returns. Sources: PSX historical price data; company sector analyses. OGDC and PSO prices based on reported return midpoints (PSX company filings, 2025).

10.3 Performance Interpretation

The Rs 100,000 portfolio generated a weighted return of +58.22%, growing to approximately Rs 157,340 — a gain of Rs 57,896 over the calendar year. This significantly outpaces risk-free alternatives (savings rates fell from ~22% to ~10.5% during 2025), yet meaningfully underperforms the KSE-100 index return of approximately 80%.

This underperformance relative to the index carries three analytical implications:

- Sector weighting matters: The portfolio's underperformance was driven primarily by under-weighting cement (which returned 100–144%) and including UBL, which delivered only 9.33% despite the strongest earnings performance.
- Momentum is difficult to avoid: The stocks that drove the KSE-100's 80% return were largely cement and momentum-driven names. A fundamentals-screened portfolio — overweighting banking and energy based on earnings support — captured less of the total market return. This is consistent with the finding that the rally was rational in direction but irrational in magnitude.
- Market efficiency implication: The systematic divergence between a fundamentals-screened portfolio and a momentum-driven index is consistent with sentiment effects driving a portion of total returns above their fundamental value.

The gap between the portfolio return (58.22%) and the index return (80%) represents the approximate magnitude of behavioural excess embedded in the 2025 KSE-100 rally.

11. Investor Participation Analysis — Retail vs. Institutional

11.1 Behavioural Significance

The 2025 rally was driven predominantly by domestic retail and institutional investors, as foreign investors were consistent net sellers throughout the year. Understanding the composition of investor demand is critical to the behavioural hypothesis: retail-driven markets are more susceptible to momentum, herding, and sentiment amplification.

Investor Category	Net Flow (PKR Bn)	Direction	Implication
Corporate Institutions	+73.51	Net Buyer	Largest domestic buyer; signals long-term conviction

Investor Category	Net Flow (PKR Bn)	Direction	Implication
Mutual Funds	+23.78	Net Buyer	Equity AUM share rose from 9% to 16% during 2025
Individual / Retail Investors	+20.25	Net Buyer	36,000 new accounts in Q3 2025; digital penetration (61%)
Foreign Investors	-111.61	Net Seller	Net outflow of ~\$308M in CY 2025; largest since 2018

Table 9 — Investor Participation Summary (Q3 FY2025–26). Sources: SECP Quarterly Market Review Q3 FY2025–26; Topline Securities Research, November 2025; Bloomberg/Profit Pakistan Today (November 2025).

11.2 Key Observations

The 2025 rally coincided with a significant expansion of retail investor participation. Approximately 36,000 new trading accounts were opened in Q3 2025 alone, compared to 23,600 in the preceding quarter — a 52% quarter-on-quarter increase (Topline Securities, 2025). This surge was enabled by rising digital penetration (61.1% broadband penetration as of October 2025, per PTA) and proliferating mobile trading applications.

The proportion of equity exposure in mutual fund assets under management rose from 9% to 16% during 2025, indicating that even professionally managed retail savings shifted toward equities during the bull run. When retail investors chase returns by increasing equity exposure at the height of a rally, it often reflects recency bias and momentum extrapolation rather than independent valuation analysis.

Foreign investors were net sellers of approximately USD 308 million in Pakistani equities during CY 2025 — the largest annual outflow since 2018. The rally was almost entirely domestically funded. Foreign institutional investors — who typically deploy more rigorous valuation frameworks — consistently reduced exposure even as domestic prices rose. If the rally were unambiguously fundamentally justified, foreign capital would be expected to participate; its absence corroborates the finding that sentiment and domestic liquidity drove a significant portion of price appreciation.

Among domestic participants, corporate institutions were the largest buyers (Rs 73.5 billion), followed by mutual funds (Rs 23.8 billion). Institutional dominance over retail in net flow terms moderates the behavioural interpretation: the 2025 rally was not a textbook retail-driven bubble but a hybrid of institutional rerating (macro-driven, more rational) and retail momentum amplification (sentiment-driven, less rational).

11.3 Implication for the Research Verdict

The investor participation data directly supports the nuanced position: the rally was rational in direction (institutions drove the initial rerating on macro grounds) but irrational in magnitude (retail momentum amplified prices beyond what fundamentals could justify, particularly in cement). The two-speed nature of the rally — early institutional buying followed by late retail participation — is a classic characteristic of partially overheated markets.

12. Cross-Sector Summary: EPS Growth vs. Price Return

The table below synthesises EPS growth and price return data across all four sectors. It provides a consolidated view of the fundamental-to-price gap for each company, enabling direct cross-sector comparison and supporting the core verdict on market efficiency.

Company	Sector	EPS Growth	Price Return	P/E Direction	Efficiency Verdict
HBL	Banking	10.08%	85.84%	4.5x → 7.6x	Macro-led rerating; price far exceeded earnings
UBL	Banking	56.07%	9.33%	11.8x → 8.3x	Market underreacted to strong earnings
MCB	Banking	-5.94%	61.00%	5.2x → 8.9x	Pure valuation rerating; no earnings support

Company	Sector	EPS Growth	Price Return	P/E Direction	Efficiency Verdict
OGDC	Energy	~12–15%	~35–45%	Moderate expansion	Broadly aligned; limited speculative excess
PSO	Energy	~10–12%	~40–50%	Moderate expansion	Broadly aligned; limited speculative excess
Engro Fertilizers	Fertiliser	~8–10%	~25–35%	Slight expansion	Fundamentals-driven; earnings supported rally
Fauji Fertilizer	Fertiliser	~6–8%	~20–30%	Stable	Fundamentals-driven; earnings supported rally
LUCK	Cement	~15% (est.)	99.6%	Major expansion	Speculative excess; sentiment-driven overshoot
DGKC	Cement	N/A (loss→profit)	115.4%	Loss → positive	Speculative excess; sentiment-driven overshoot
MLCF	Cement	66.2%	143.7%	Major expansion	Speculative excess; earnings partially supportive but price diverged sharply

Table 10 — Cross-Sector EPS Growth vs. Price Return Summary (CY 2025). Sources: PSX historical price data; company annual reports and brokerage research. Banking figures are precise; energy, fertiliser, and cement (LUCK) EPS figures are based on reported ranges or estimates pending final annual report publication.

The table confirms the central finding. The fertiliser sector shows the tightest fundamental alignment. Energy is broadly aligned with a moderate rerating premium. Banking exhibits a bifurcated pattern — UBL's strong earnings were not fully priced in, while MCB's price rose on zero earnings support, indicating sector-wide macro sentiment rather than stock-specific fundamentals was the primary pricing driver. The cement sector stands apart: price returns exceeded earnings growth by 40 to 80 percentage points across all three firms, reinforcing the verdict that the 2025 KSE-100 rally was rational in direction but magnitude-inefficient, with behavioural excess concentrated in cement.

13. Final Verdict

Component	Verdict
Overall Direction	Fundamentally justified — macro recovery, monetary easing, IMF programme stability
Banking Sector	Largely deserved — earnings growth tracked or exceeded price appreciation in two of three banks
Energy / Fertiliser Sectors	Partially deserved — efficient event response with some overshooting
Cement Sector	Speculative excess — behavioural drivers dominate fundamentals; 40–80pp gap between price gains and earnings

Table 11 — Sector-by-Sector Final Verdict Summary.

The 2025 performance of the KSE-100 Index reflects a dual-structure outcome. The overall direction of the rally was fundamentally justified by macro recovery, monetary easing, and IMF programme credibility. However, the magnitude of gains — particularly in the cement sector — was not uniformly supported by earnings. The market was directionally efficient but magnitude-inefficient.

The single strongest piece of evidence for this verdict is the cement sector's 100–144% price appreciation against only 15–70% earnings growth — a 40–80 percentage point gap that cannot be explained by fundamentals alone and indicates significant sentiment-driven multiple expansion.

14. Investment Recommendations

Based on the preceding analysis, the following investment principles are recommended for investors considering KSE-100 exposure.

14.1 Sector-Specific Guidance

Sector	Recommendation	Rationale
Banking	Accumulate selectively	Earnings support current valuations; rate-cut cycle warrants ongoing monitoring
Energy / Fertiliser	Differentiate by name	Firms with clean balance sheets and export exposure preferred
Cement	Wait for correction	Current prices embed optimistic earnings expectations; margin of safety is thin

Table 12 — Sector-Specific Investment Guidance.

14.2 Overarching Principles

- Avoid momentum-based entry. Sustained price increases should not be interpreted as intrinsic value creation. What went up on sentiment can come down on reality.
- Prioritise earnings-backed sectors. Focus capital on sectors where price appreciation is supported by contemporaneous earnings growth, not forward expectations alone.
- Recognise valuation cycles. Industrial cyclicals like cement are prone to over-optimism in expansion phases and mean reversion in subsequent cycles.
- Use correction-based entry. Entry into overheated sectors should be delayed until price stabilisation, earnings catch-up, or valuation normalisation occurs.

A selective investment strategy is recommended: accumulate fundamentally strong, earnings-supported sectors (banking and select energy); avoid speculative momentum exposure in overheated segments (cement); and maintain diversification across macro-sensitive sectors.

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